

Interview Feedback

Brew & Bean Profitability · 2026-07-19 · Overall: strong

Top improvement

Bring quantitative rigor up to the level of the rest of your game: when handed a single data point like the 40% bean rise, explicitly bound or bridge it to the 16-point margin move (e.g., reason about what bean share of COGS would be required), and always attach an explicit risk/caveat to your final recommendation.

Rubric Scores

Problem Structuring

strong

What went well

Opened by anchoring on the core tension and laid out three clearly enumerated, largely non-overlapping buckets tailored to a coffee chain.

"To find the root cause, I would structure my approach into three main areas: Revenue Deep Dive... Cost Structure Analysis... Competitor & Market Dynamics"

Tailored the cost bucket with industry-specific sub-points (beans, milk, packaging) rather than a generic template.

"Variable Costs (COGS): Have coffee bean, milk, or packaging prices spiked? Fixed/Operational Costs: Have labor wages risen, or are we spending heavily on rent, marketing, or overhead"

Included the competitive/market lens as a bonus dimension, matching the structure key's call for competitive context.

"Is this an isolated issue for Brew & Bean, or is the entire specialty coffee industry facing a supply chain shock or labor shortage that is squeezing everyone's margins?"

What needs work

Did not restate the objective as a decision before diving into buckets, and initial prioritization defaulted to revenue before being pressed.

"I'd like to start with the revenue side. Do we have data on whether that 15% growth came from existing stores or from opening new locations"

Missed opportunities

When first presenting the structure, the candidate led with revenue as the starting point despite the math pointing to costs.

A great answer: "Given margins fell 18 points while revenue grew, the math implies costs are the likely driver, so I'd start there — decomposing costs into COGS, labor, and overhead — before validating on the revenue side."

Quantitative & Analytical Rigor

adequate

What went well

Correctly derived the margin drop and read the percentage-point shifts across cost lines from the exhibit.

"COGS, which skyrocketed from 42% to 58% of revenue over the past two years (an increase of 16 percentage points)"

What needs work

Attempted to reason about whether the 40% bean hike explains the 16-point COGS jump but never derived it, and mislabeled the relative COGS increase — 42% to 58% is a ~38% relative increase, which he stated but then left the bean-to-COGS bridge entirely unquantified.

"since COGS grew from 42% to 58% of revenue (which is a ~38% relative increase in our total COGS proportion), raw beans could definitely be the primary driver—if beans make up a huge percentage of our total COGS"

Never set up any explicit equation to size the margin impact in dollars, so the analysis stayed at the ratio level without translating to business magnitude.

"A 40% spike in raw bean costs is a massive increase."

Missed opportunities

After receiving the 40% bean price rise with no COGS split, the candidate could have reasoned about what bean share of COGS would be needed to explain a 16-point margin move.

A great answer: "Without the split, I can bound it: COGS rose 16 points of revenue. If beans are a large share of COGS, a 40% price rise on that share plausibly accounts for most of the 16-point jump; if beans are only, say, a quarter of COGS, the 40% rise would explain far less and I'd suspect additional drivers like waste or mix."

Data & Exhibit Interpretation

strong

What went well

Systematically read the exhibit, isolated COGS as the sole driver, and explicitly noted labor was flat and overhead barely moved.

"The primary culprit is clearly COGS, which skyrocketed from 42% to 58% of revenue... Meanwhile, labor has stayed completely flat at 22%, and overhead only ticked up by 2%."

Immediately drove to the next question — what is inside COGS — exactly the strong-candidate move per the exhibit key.

"COGS in a coffee chain typically boils down to two main things: unit cost of ingredients... or systemic waste/shrinkage. Do we have information on whether the market price of our raw ingredients has spiked"

Updated his prior hypothesis openly when the exhibit contradicted it, showing responsiveness to data.

"Looking at this exhibit, my hypothesis about overhead was wrong."

Business Judgment & Insight

strong

What went well

Correctly identified specialty coffee's lower price elasticity and paired a pricing lever with supply-side hedging — closely matching the recommendation key.

"We should test a targeted price increase on bean-heavy drinks... to pass some of this cost inflation onto the consumer without destroying volume."

"we should negotiate long-term, fixed-price forward contracts with coffee growers to lock in predictable pricing and hedge against future agricultural spikes"

Showed commercial caution by flagging that beans may not be the whole story and that mix and waste could contribute, resisting an over-confident single-cause leap.

"But I want to be careful here. Coffee shops sell more than just black coffee. Milk, syrups, pastries, and paper cups usually make up a huge chunk of the basket."

What needs work

Did not name any risk or downside of the pricing recommendation (e.g., volume/elasticity risk, competitor response) when synthesizing.

"protecting our brand equity while rapidly pulling our net profit margins back toward that historical 24% baseline"

Missed opportunities

In the final recommendation, the candidate asserted margins would move 'back toward that historical 24% baseline' without caveating elasticity risk.

A great answer: "The key risk is elasticity — I'd pilot the increase on a subset of stores and monitor volume before rolling out, since if demand is more price-sensitive than assumed we could lose the volume we need."

Creativity & Brainstorming

strong

What went well

When pushed for more levers, organized ideas into a clear mini-structure of three operational areas with distinct, relevant ideas.

"I would look at three specific operational levers: Tighten Operational Waste and Portion Control... Shift the Product Mix Toward High-Margin, Low-Bean Items... Optimize the Product Lineup"

Produced non-obvious ideas including bean-light mix shifts and a stealth price increase via serving size.

"temporarily reducing the serving sizes of bean-heavy beverages without changing the price (stealth price increase)"

"pushing cold brew concentrates (which can be highly optimized in batches) or RTD (ready-to-drink) bottled beverages"

Synthesis & Recommendation

strong

What went well

Led answer-first with a single crisp recommendation and a tight rationale tied to the analysis.

"My single recommendation to the CEO is to execute a Targeted, Premium Price Increase on Bean-Heavy Beverages."

"A 40% spike in raw materials cannot be fully out-optimized through waste reduction or upselling syrups when margins have cratered from 24% to 6%."

Sequenced the recommendation with a follow-on plan for locking in the gains, showing next-step thinking.

"Once that financial breathing room is secured, we can focus on long-term supplier contracts and operational waste to lock the margins in."

What needs work

Recommendation omitted an explicit risk/caveat, which a strong synthesis names alongside reasons and next steps.

"we can immediately pass the raw commodity inflation onto the market, protecting our brand equity while rapidly pulling our net profit margins back toward that historical 24% baseline"

Missed opportunities

Closing the recommendation, the candidate did not flag the elasticity risk or how he would de-risk the price move.

A great answer: "The main risk is that demand proves more price-sensitive than expected, so I'd pilot the 5–8% increase in a few markets and watch volume before a full rollout."

Communication & Delivery

strong

What went well

Consistently top-down and signposted, stating structure before detail and using hypothesis language throughout.

"I would structure my approach into three main areas:"

"my hypothesis about overhead was wrong. The primary culprit is clearly COGS"

Closed loops by ending turns with a specific, relevant data request, driving the case forward.

"Do we have information on whether the market price of our raw ingredients has spiked, or if we have changed our suppliers recently?"

What needs work

One turn was pure filler with no analytic content, adding an unnecessary conversational beat.

"Please share the data on the coffee bean price changes! I'm eager to see if the raw bean costs explain this massive leap in COGS."

Pushback, Composure & Case Leadership

strong

What went well

When challenged to prioritize, responded crisply with an evidence-based rationale rather than hedging.

"I would prioritize the Cost Structure Analysis first. Here's why: A 15% revenue growth alongside an 18-percentage-point drop in profit margins mathematically implies an aggressive expense problem."

When told no further data splits were available, adapted composedly and worked with the single data point instead of stalling.

"Fair enough. If beans are the primary data point we have, let's look at the mechanics."

What needs work

After committing to cost analysis, initially over-anchored on new-store overhead as the driver before the exhibit corrected him, showing a hypothesis he held slightly too firmly.

"If that 15% revenue growth came from rapidly expanding our footprint, the overhead, rent, and initial labor of opening those new 200 locations could easily be eating all our cash flow."

Model Answer

Structure

Strong structure disaggregates profit = revenue – costs, then breaks revenue into volume × price and costs into COGS / labor / overhead / other. The candidate should hypothesize which bucket is the driver before asking for data. Bonus: asks about competitive context (are peers also seeing this?) and pricing power.

Recommendation

Primary recommendation: selectively raise prices by 8–12% on high-margin SKUs (specialty drinks) where demand is less elastic, while negotiating multi-year bean supply contracts to lock in cost. Secondary: pilot a lower-cost 'commodity blend' for budget-conscious locations. Do not recommend blanket cost cuts — labor and overhead are already lean.

Full Transcript

Interviewer · 0:00

Your client is Brew & Bean, a specialty coffee chain with 200 locations across the US. Over the past two years, their net profit margin has declined from 24% to 6%, even though revenues have grown 15% over the same period. The CEO has hired us to identify the root cause of this profit decline and recommend how to reverse it. How would you approach this problem?

Take a minute if you need it, then tell me how you'd structure your approach.

Candidate · 0:17

That is a striking contrast—revenue is up 15%, but profit margins dropped from 24% to 6%. This tells me right away that costs are growing at a much faster rate than revenue. To find the root cause, I would structure my approach into three main areas: Revenue Deep Dive: I want to understand how that 15% growth happened. Was it driven by opening new stores, raising prices, or an increase in volume at existing stores (same-store sales)? If we increased prices, did it shift our product mix toward lower-margin items? Cost Structure Analysis: Since profit is plummeting, I want to split costs into variable and fixed categories: Variable Costs (COGS): Have coffee bean, milk, or packaging prices spiked? Fixed/Operational Costs: Have labor wages risen, or are we spending heavily on rent, marketing, or overhead—potentially due to rapid expansion? Competitor & Market Dynamics: Is this an isolated issue for Brew & Bean, or is the entire specialty coffee industry facing a supply chain shock or labor shortage that is squeezing everyone's margins? I'd like to start with the revenue side. Do we have data on whether that 15% growth came from existing stores or from opening new locations over the last two years?

Interviewer · 0:20

Understood. Before we pull data, one thing.

You've split revenue, costs, and market. Which branch do you prioritize first, and why?

Candidate · 0:33

I would prioritize the Cost Structure Analysis first. Here's why: A 15% revenue growth alongside an 18-percentage-point drop in profit margins mathematically implies an aggressive expense problem. Even if our revenue mix shifted slightly, it rarely crushes margins that severely on its own. Within costs, I would look at fixed and operational costs first—specifically looking for expenses tied to new store openings. If that 15% revenue growth came from rapidly expanding our footprint, the overhead, rent, and initial labor of opening those new 200 locations could easily be eating all our cash flow. Does our data show a spike in fixed operational overhead or variable COGS?

Interviewer · 0:36

To isolate that, let's ground it. What's happened to the cost structure over time?

I can show you an exhibit on that. Here it is:

Candidate · 0:55

Looking at this exhibit, my hypothesis about overhead was wrong. The primary culprit is clearly COGS, which skyrocketed from 42% to 58% of revenue over the past two years (an increase of 16 percentage points). Meanwhile, labor has stayed completely flat at 22%, and overhead only ticked up by 2%. This tells us that the cost of goods sold is rising drastically faster than our pricing or sales volume can cover. To isolate this further, COGS in a coffee chain typically boils down to two main things: unit cost of ingredients (coffee beans, milk, syrups) or systemic waste/shrinkage. Do we have information on whether the market price of our raw ingredients has spiked, or if we have changed our suppliers recently?

Interviewer · 0:57

I don't have a full ingredient or waste breakdown. I do have the coffee bean price change. Here it is:

Candidate · 1:13

Please share the data on the coffee bean price changes! I'm eager to see if the raw bean costs explain this massive leap in COGS.

Interviewer · 1:15

Here's the bean price change over two years: Raw coffee bean costs are up 40% over the past two years.

Candidate · 1:28

A 40% spike in raw bean costs is a massive increase. However, since COGS grew from 42% to 58% of revenue (which is a ~38% relative increase in our total COGS proportion), raw beans could definitely be the primary driver—if beans make up a huge percentage of our total COGS. But I want to be careful here. Coffee shops sell more than just black coffee. Milk, syrups, pastries, and paper cups usually make up a huge chunk of the basket. To determine if this 40% bean price hike fully explains the 16-point jump in COGS, I'd like to understand two things: What percentage of our total COGS is historically made up of raw coffee beans versus other ingredients or packaging? Has our product mix shifted heavily toward espresso-heavy drinks that require more beans per cup?

Interviewer · 1:30

I don't have the itemized COGS split or the mix data. Beans is what I have.

So work with it. What does this tell you about the root cause, and how would you address it?

Candidate · 1:46

Fair enough. If beans are the primary data point we have, let's look at the mechanics. A 40% spike in our primary raw material cost completely explains why profit margins were crushed, especially if Brew & Bean kept its menu prices flat over the last two years. Our costs went up, but our prices didn't match the inflation. To address this and reverse the profit decline, I see two immediate levers: Strategic Pricing (Revenue Side): We likely need a menu price increase. Because we are a specialty coffee chain, our customers are typically less price-sensitive than fast-food coffee drinkers. We should test a targeted price increase on bean-heavy drinks (like espresso or drip coffee) to pass some of this cost inflation onto the consumer without destroying volume. Supplier & Contract Restructuring (Cost Side): We need to look at how we source our beans. Are we buying on the volatile spot market? If so, we should negotiate long-term, fixed-price forward contracts with coffee growers to lock in predictable pricing and hedge against future agricultural spikes. How does the client feel about implementing a price increase, or do we have room to renegotiate our current supplier contracts?

Interviewer · 1:48

Beyond pricing and supplier contracts, what else could Brew and Bean do to recover margin?

Candidate · 2:01

If we leave menu pricing and supplier contracts aside, we have to look at optimizing our internal operations and product mix to squeeze more margin out of the beans we do buy. I would look at three specific operational levers: Tighten Operational Waste and Portion Control: Coffee shops often have massive hidden waste. We should audit store-level execution—ensuring baristas are using precise gram scales for espresso dosing and minimizing over-grinding or discarding unused brewed drip coffee. Shaving off even 5–10% of bean waste directly impacts COGS. Shift the Product Mix Toward High-Margin, Low-Bean Items: We can train staff to upsell modifications that carry incredibly high margins but use zero extra coffee beans—such as alternative milks (oat, almond), flavored syrups, cold foam, or extra food/pastry attachments. Optimize the Product Lineup: We could introduce or heavily promote items that use fewer coffee beans per dollar of revenue. For example, pushing cold brew concentrates (which can be highly optimized in batches) or RTD (ready-to-drink) bottled beverages, or even temporarily reducing the serving sizes of bean-heavy beverages without changing the price (stealth price increase). Which of these operational areas do you think the client would be most capable of executing quickly?

Interviewer · 2:03

I'm not going to steer you there. Of everything you've raised, what's your single recommendation to the CEO, and why?

Candidate · 2:17

My single recommendation to the CEO is to execute a Targeted, Premium Price Increase on Bean-Heavy Beverages. Here is why: The core issue is structural. A 40% spike in raw materials cannot be fully out-optimized through waste reduction or upselling syrups when margins have cratered from 24% to 6%. Because Brew & Bean is a specialty coffee chain, its customer base is inherently stickier and less price-sensitive than a fast-food coffee consumer; they are buying an experience and a premium product. By raising prices by just 5% to 8% exclusively on high-bean products—like espresso drinks and drip coffee—we can immediately pass the raw commodity inflation onto the market, protecting our brand equity while rapidly pulling our net profit margins back toward that historical 24% baseline. Once that financial breathing room is secured, we can focus on long-term supplier contracts and operational waste to lock the margins in.

Interviewer · 2:19

Understood. That's a clear recommendation with a rationale behind it.

That's where we'll stop. Thank you for working through the case—I'll close us out here.